India & Austria: Strengthening Partnership, Shaping Shared Growth

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Foreword

Austria occupies a distinctive position in the European economy. As a high-income member of the European Union and the euro area, home to roughly 9.2 million people, a highly skilled workforce, world-class research institutions, strong export-oriented industry and an unusually high share of renewable electricity, the country holds long-term promise across machinery and engineering, automotive components, steel and advanced materials, pharmaceuticals, renewable energy, rail and tunnelling technology, information technology and tourism. At the same time, its relatively small domestic market, dependence on German and wider European demand, elevated energy and labour costs, a period of economic stagnation since 2023 and tight fiscal conditions temper the pace at which this potential translates into realised opportunity, shaping a market where quality and institutional strength coexist with the constraints of scale and cost.

India and Austria have maintained friendly and steadily deepening bilateral relations since diplomatic ties were established on 10 November 1949, supported by political dialogue, cooperation in multilateral forums and growing commercial engagement. Bilateral goods trade has grown to about US$ 3.5 billion in 2025 according to Austrian statistics and is broadly balanced, with Indian exports of electronics, apparel, textiles, vehicle and railway components and machinery matched by Austrian exports of machinery, railway equipment, iron and steel and chemicals.

Looking ahead, this paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Austria in a manner appropriate to current conditions, whether through sector-specific market intelligence, structured business matchmaking, identification of credible local partners, or institutional dialogue with Austria's relevant ministries, the Austrian Federal Economic Chamber (WKO) and its trade promotion arm Advantage Austria, the Austrian Business Agency, industry associations and regional business agencies that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of Austria's economy, its priority sectors, and the opportunities and constraints shaping India–Austria economic engagement, serving as a reference for CCI India's engagement with the Embassy of India in Vienna, the Embassy of Austria in New Delhi, Austrian stakeholders, and Indian companies assessing the market.



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AUSTRIA

> Wander through historic cities and scenic valleys while embracing culture at a slower pace.

Basic Facts and Economic Overview

Austria is a landlocked country in Central Europe, with Vienna as its capital and largest city. As of 2025 projections, Austria's population is approximately 9.1–9.2 million. The country is a federal parliamentary republic and a member of major international organizations, including the European Union, United Nations, OECD, and WTO.

Austria is a highly developed, high-income economy known for its strong industrial base, advanced services sector, and high standard of living. The economy is diversified across manufacturing, tourism, banking, and technology sectors.

Economy — GDP, Structure & Recent Performance

Austria's nominal GDP is estimated at approximately USD 520–550 billion (2025).

- Sectoral Composition: Services: ~65–70%
- Industry: ~25–30%
- Agriculture: ~2–3%

The economy has demonstrated stable growth, averaging around 2–3% annually. Austria's industrial sector includes machinery, automotive components, chemicals, and metals. The services sector is dominated by tourism, banking, and professional services.

Bilateral Trade with India & Population:

Trade between India and Austria is significant and growing, with bilateral trade estimated at approximately USD 2.5–3 billion annually (2024–25).

India exports pharmaceuticals, textiles, and IT services, while importing machinery, precision instruments, and industrial goods from Austria.

Austria's population is approximately 9.2 million, with a high level of urbanization. Vienna alone accounts for a significant share of the population and serves as a major economic and cultural hub. The country has a well-educated workforce and a high quality of life.



Cultural and Heritage

Austria is known for its rich cultural heritage, shaped by classical music, historic architecture, and artistic traditions. The country is famous for composers like Wolfgang Amadeus Mozart and grand landmarks such as Schönbrunn Palace. Austrian culture reflects a blend of imperial history, folk customs, and a strong appreciation for art, literature, and festivals.

Import and Export from India

Austria imports pharmaceuticals, textiles, IT-related services, and industrial inputs, some of which originate from India either directly or through European supply chains. Direct exports from Austria to India include machinery and technology products, while imports to India also involve intermediate goods routed through global trading networks.

Strategic Importance and Key Observation

Austria serves as a strategic gateway to Central and Eastern Europe, making it an important hub for trade, logistics, and investment. Its strong industrial base and innovation-driven economy enhance its global competitiveness.

Opportunities and Risks for Indian Businesses

Opportunities:

- Advanced manufacturing and technology partnerships
- Renewable energy collaboration
- Tourism and hospitality investments

Risks:

- High labor costs
- Strict regulatory standards
- Competitive market environment



Cultural and Strategic Economic Ties

India and Austria share strong diplomatic and economic relations, with cooperation in science, technology, and education. Austrian companies have a presence in India, particularly in engineering and manufacturing sectors.

Conclusion – Summary & Recommendation

Austria is a highly developed and innovation-driven economy, offering strong opportunities for collaboration in technology and industry.
India should focus on high-value partnerships, R&D collaboration, and advanced manufacturing investments.

1. Austria: Economic Profile and Business Environment

1.1 Country overview

Austria is a landlocked country of about 9.2 million people in the heart of Central Europe, bordered by Germany, the Czech Republic, Slovakia, Hungary, Slovenia, Italy, Switzerland and Liechtenstein. It covers roughly 84,000 square kilometres, nearly two-thirds of it Alpine terrain, and is organised as a federal republic of nine states (Länder). Austria is a high-income economy with a nominal GDP of roughly EUR 480 billion in 2025, equivalent to about USD 58,000 to 60,000 per person, and consistently ranks among the most prosperous countries in the European Union.

The capital, Vienna, is home to about two million people, roughly one-fifth of the population, and is the seat of the federal government, the main financial and corporate headquarters, the leading universities and a cluster of international organisations that includes the International Atomic Energy Agency, the United Nations Industrial Development Organization, the Organization of the Petroleum Exporting Countries and the Organization for Security and Co-operation in Europe. Other major centres include Graz, Linz, Salzburg and Innsbruck, each anchoring a distinct regional industrial cluster. German is the official language, and English is widely used in business.

1.2 Structure of the economy

Services: tourism, trade, banking and insurance, business and information services, transport and public services account for roughly seven-tenths of output, and Vienna is a regional hub for finance and for the headquarters of companies operating in Central and South-Eastern Europe.

Machinery and engineering: a dense base of mid-sized, often family-owned and globally leading firms, concentrated in Upper Austria, Styria and Lower Austria, produces machinery, plant, rail and mobility equipment, tooling and automation.

Automotive and mobility: an integrated supplier base and contract manufacturing, including engines, powertrain and electrification technology, that is closely tied to German vehicle makers.

Metals and materials: steel, specialty and high-performance metals, aluminium, paper and pulp, wood processing and building materials.

Chemicals, pharmaceuticals and life sciences: a growing research and production cluster centred on Vienna, Tyrol and Upper Austria.

Electronics and semiconductors: power semiconductors, printed circuit boards and sensors, particularly in Carinthia and Styria.

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Energy: more than four-fifths of electricity is generated from renewable sources, led by hydropower on the Danube and Alpine rivers, with expanding wind and solar capacity and a national goal of climate neutrality by 2040.

1.3 Institutions and governance

Austria is a parliamentary federal republic with a directly elected Federal President, currently Alexander Van der Bellen, whose role is largely representative, and a Federal Chancellor who leads the government. Since March 2025 the country has been governed by a coalition of the Austrian People's Party, the Social Democratic Party and NEOS under Chancellor Christian Stocker, with Beate Meinl-Reisinger as Foreign Minister. The coalition's priorities include budget consolidation, competitiveness, energy costs and migration. Austria has been neutral since 1955 and has been a member of the European Union since 1995.

For investors, Austria's strengths are political and social stability, strong rule of law, transparent and predictable regulation, high-quality infrastructure and the social partnership model, which keeps industrial relations cooperative and strikes rare. Austria retains high investment-grade credit ratings, although some agencies have lowered their ratings or outlooks in response to weak growth and fiscal pressure. Corporate registration, tax and customs processes are efficient and increasingly digital, though regulation is detailed and the administrative culture values documentation and formal compliance.

1.4 Trade orientation

Austria is a highly open economy, with exports of goods and services equal to well over half of GDP. Germany is by far the largest trading partner and accounts for roughly three in ten goods exports, followed by Italy, the United States, Switzerland and neighbouring Central European markets. As a member of the European Union, Austria applies the common external tariff and the EU's trade agreements, uses the euro, and participates in the Schengen area, which makes it an integral part of a single market of about 450 million consumers.

Austria's export orientation, its role as a gateway to Central and South-Eastern Europe, and the presence of many multinational regional headquarters in Vienna make it an attractive location for Indian companies that wish to serve the wider European and Danube region, although Austria's own market is small and mature.

1.5 Key indicators

Indicator	Value	Comment
Population	About 9.2 million (2025)	Ageing; growth driven by migration
GDP (current prices)	About EUR 480 billion (2025)	Roughly USD 540 billion

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